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Outdoor Holding Company (POWW)
The Marketplace Priced Like a Manufacturer

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A dominant online firearms marketplace, obscured for years by a cash-burning factory, now screens as a **Buy** with a $3.64 blended target, 63% above the current price.

BUY	$3.64	+63%	$2.23
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

GunBroker.com is the default venue for online firearms transactions, shielded by Big Tech's own prohibition policies, and the market still values POWW like the manufacturer it sold in April 2025.

The April 2025 pivot changes what the earnings are

In April 2025, POWW sold its ammunition manufacturing assets to Olin Winchester for $75 million and rebranded as Outdoor Holding Company. The factory had absorbed a $12 million greenfield plant in Wisconsin and years of inventory builds, dragging consolidated free cash flow to negative 10 to 15 percent and burying the marketplace underneath. What remains is GunBroker.com, acquired in 2021: an asset-light platform with nearly 7 million registered users and minimal incremental cost per transaction.

$2.23	$53.72M	~7M	25%	~$259M	Oct. 4 2026
REF. PRICE	TTM REVENUE	REGISTERED USERS	MATURE FCF MARGIN	MARKET CAP	REF. CLOSE

The moat is a policy wall

GunBroker benefits from a classic two-sided network effect: buyers seeking scarce or specialized firearms draw sellers and Federal Firearms Licensees, which deepens liquidity and pulls in more buyers. Its stronger shield is corporate policy. eBay, Amazon, Shopify and PayPal all prohibit firearms sales, a self-imposed exile that hands GunBroker a captive market and spares it the margin compression of ordinary e-commerce. What competition remains is fragmented: local brick-and-mortar stores, weekend gun shows and classifieds like Armslist.

KPIs rotate from backlog to GMV

The old backlog metric, which peaked at $180 million in 2021, died with the factory sale. Investors must now track gross merchandise value, active users and take rate. At $53.72 million of TTM revenue, the platform captures a small fraction of the multi-billion dollar US firearms and accessories market, with growth levers in take rate, ancillary advertising and adjacent outdoor categories like hunting gear, optics and tactical equipment.

Three scenarios make the valuation range explicit

The DCF compounds $53.72M TTM revenue at 5% to 20% through 2030, with FCF margins ramping from 15% to mature 20% / 25% / 30%.

SCENARIO	WEIGHT	2026–30 CAGR	2030 REVENUE	MATURE FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	$68.6M	20%	**$2.29**	+3%
Base	50%	12.0%	$94.7M	25%	**$3.46**	+55%
Bull	25%	20.0%	$133.7M	30%	**$5.36**	+140%

Bear: The manufacturing drag is gone but marketplace growth stalls at 5%, with sub-scale 20% FCF margins.

Base: GunBroker compounds at 12% as online adoption continues, reaching mature 25% FCF margins in line with scaled peers.

Bull: Take-rate expansion and adjacent categories drive 20% growth with eBay-like 30% margins.

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The probability-blended target implies 63% upside

Blended target: $3.64 per share

A 25% Bear / 50% Base / 25% Bull weighting implies 63% upside from the $2.23 reference price. Even the Bear case sits about 3% above the market.

$3.64
BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a five-year DCF covering 2026–2030. Revenue compounds from the $53.72M TTM base at scenario-specific rates. Free cash flow margins ramp linearly from 15% to 20% / 25% / 30% by 2030, proxying scaled marketplace peers: eBay runs 25% to 30% and Etsy 20% to 25%. Terminal value is a Gordon perpetuity at 3% growth on 2030 free cash flow.

The research this framework builds on used a static 11% WACC. We replace it with the live CAPM rate: the 10-year Treasury near 5.25% plus a 0.95 beta times a 3.63% equity risk premium, a lower hurdle than the report's static 11%. The lower hurdle lifts the Base target to $3.46 from the report's $2.49, with assumptions otherwise unchanged.

TTM revenue base	**$53.72M**
Valuation horizon	**2026–2030**
Live WACC (Oct. 2026)	**Below 11%**
Terminal growth	**3.0%**
Net cash	**~$60M**
2030 FCF (Base)	**$23.7M**

The reverse DCF: the market prices less than Bear

At $2.23, POWW carries a market capitalization near $259M and, after roughly $60M of net cash, an implied enterprise value near $199M. Holding the 25% base-case free cash flow margin flat and a lower live discount rate constant, that enterprise value implies about **−1.5% revenue CAGR** over five years, below even the Bear case's 5%. The market is pricing a growth hurdle the company can stumble over and still clear.

Mechanics are explicit

Enterprise value converts to equity value after roughly $60M of net cash from the Olin Winchester proceeds and debt retirement. Targets divide by 116.1M live shares outstanding. The 2030 revenue cross-checks read **$68.6M / $94.7M / $133.7M** across Bear / Base / Bull.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield via GOOGLEFINANCE plus beta × equity risk premium: a 0.95 beta and a 3.63% ERP at a 5.25% yield imply a lower WACC than the report's static 11%. Terminal growth is 3.0% on 2030 free cash flow; the $3.64 headline target applies 25% / 50% / 25% Bear / Base / Bull weights. The reverse DCF holds the 25% base-case FCF margin flat. See the Reverse DCF tab in the model workbook.

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The bear case

Take-rate tension
Monetizing GMV harder risks seller churn toward Armslist or local channels. The fee lever is real but not infinite, and pushing it too far erodes the liquidity the moat depends on.

Regulatory reversal
The policy moat depends on Big Tech's prohibitions and the legal status quo. A shift in either, from platform policy reversals to federal firearms regulation, would change the competitive picture quickly.

Discretionary cyclicality
Firearms demand has historically surged and cooled with the political cycle. A demand trough would test the 5% Bear growth rate, let alone the 12% Base case.

Small-cap liquidity
At roughly $259M of market capitalization, the shares carry wider spreads and sharper drawdowns on estimate cuts or insider selling.

Adjacent-category execution
Expansion into hunting gear, optics and tactical equipment is strategically sound but unproven at scale, and each category brings entrenched incumbents.

Single-asset concentration
GunBroker is effectively the whole company now. There is no manufacturing base left to fall back on if marketplace growth disappoints.

The strengths

Two-sided network effects
Nearly 7 million registered users make GunBroker the default venue for online firearms transactions, and liquidity deepens with scale on both sides of the marketplace.

Asset-light cash conversion
With the factory sold, mature free cash flow margins near 25% drop through with minimal capex, a step change from the negative 10 to 15 percent of the manufacturing era.

Fortress balance sheet
Roughly $60M of net cash against a $259M market cap funds buybacks, tuck-in acquisitions or take-rate investment without touching the debt markets.

Policy-protected moat
Big Tech's self-imposed exile from firearms sales is a durable, widening barrier that no startup budget can replicate.

A mispriced pivot, not a perfect company

Investment view: Buy. The $3.64 blended target implies 63% upside, balancing the $2.29 / $3.46 / $5.36 Bear / Base / Bull outcomes, and the market prices growth below even the Bear case.

Justin Hoe

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Industry data underwrites the growth cases

The past 18 months of U.S. firearm sales data show resilient, steady growth rather than a cyclical downturn. In our view, the conservative growth estimates in this framework are highly achievable. NSSF-adjusted NICS background check data from 2025 through late 2026 shows an industry that is not experiencing the demand trough flagged in our risk section. Instead, the data provides macroeconomic support for the model's upside scenarios.

NSSF-ADJUSTED NICS, 2026	YOY CHANGE
February	+3.5%
March	+1.9%
April	+1.6%
May	+3.2%
June	+11.7%
July	+8.5%
August	+2.2%

Seven consecutive months of year-over-year gains; August marked 1,115,410 adjusted checks. Source: NSSF.

Bear-case risks look overstated

Our risk section cautions that a demand trough driven by discretionary cyclicality would test the 5% Bear growth rate. NSSF-adjusted checks have crossed the 1 million mark in every month of 2026, with the year-over-year gains shown above. That baseline unit growth indicates the broader market is already clearing the roughly −1.5% revenue CAGR the reverse DCF implies the stock is pricing.

NFA mix is a GMV and take-rate tailwind

This framework asks investors to track gross merchandise value and take rate now that the factory is gone. Over the past year, National Firearms Act background checks, covering high-ticket items like suppressors and short-barreled rifles, have surged: up 167% year over year in February 2026 and more than 200% by August. Because GunBroker earns its revenue as a take rate on GMV, this mix shift toward higher-priced, specialized items is a direct catalyst for revenue growth outpacing raw unit volume.

Support for the Base and Bull cases

The Base case models 12.0% revenue CAGR and the Bull case 20.0%, driven by take-rate expansion and ancillary categories. With baseline transactional traffic elevated and specialized, high-margin item sales booming across the industry, GunBroker's 7 million registered users and minimal incremental cost per transaction position it well to capture sustained demand and scale margins.

> **Bottom line:** the demand trough the Bear case guards against is not appearing in the data. The industry is growing through it, which de-risks the 5% Bear hurdle and supports the Base and Bull trajectories.

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Q1 FY2027: operating leverage arrives, but one-time boosts cloud the run rate

The June quarter was stellar on paper: a fourth consecutive quarter of accelerating revenue growth (+22.1% year over year) and a third profitable quarter in a year. Stripped of the legacy ammunition business, the GunBroker platform showed immense operating leverage. Operating expenses fell 45.3% year over year, from $16.3M to $8.9M, as legacy legal matters resolved and corporate streamlining took hold. Adjusted EBITDA rose 152% to $7.9M, a 54.6% margin. Two one-time boosts flatter the result, however, and the core take rate softened underneath.

What impressed us

- **Real operating leverage.** The opex reset dropped straight to the bottom line, and management describes the cost structure as stable, so incremental GMV should convert with minimal friction.
- **Share gains against the industry.** Unit sales rose 11.6% against a 5.3% rise in adjusted NICS checks, adding roughly 41 basis points of share. Excluding Virginia, GMV still grew about $23M year over year, with average order value up 7.5% to $477.
- **Capital discipline.** The company repurchased over 1 million shares for $2.0M ($1.98 average), leaving $12.0M on the authorization, paid down related-party debt, and still grew cash to $68.8M.
- **AI reducing friction.** A March AI listing tool that standardizes descriptions is now joined by a piloted AI customer-service agent, aimed at lowering seller overhead and response times.

What tempers our enthusiasm

- **The Virginia pull-forward.** Management said a "meaningful portion" of the 18.1% GMV growth came from buyers front-running July 1 Virginia legislation on semi-automatic firearms, and it is "not assuming" a repeat in Q2. Expect an air pocket.
- **Core take-rate compression.** The headline take rate rose 21bps to 6.47%, but the new FFL transfer fee contributed 39bps. The legacy take rate fell 18bps, from 6.26% to 6.08%, on large-seller volume discounts.
- **Margin dilution from FFL.** Gross margin compressed 270bps to 84.5% on the April FFL integration. It monetizes without raising base fees, but at a lower margin.

$223.7M	$4.4M	6.47%	84.5%	$68.8M	$12.0M
GMV, +18.1% YOY	OPERATING CASH FLOW	TAKE RATE, +21BPS	GROSS MARGIN	CASH BALANCE	BUYBACK REMAINING

Silencer and suppressed-firearm volumes jumped 71% year over year on the $0 federal transfer tax.

Open questions

- How much of the $34M total GMV growth was the Virginia pull-forward, versus the $23M ex-Virginia organic growth?
- At what point does legacy take-rate mix-shift stabilize, and will tier pricing change if large sellers keep diluting it?
- What is the steady-state gross margin of the FFL transfer stream once implementation costs roll off?
- Is the Universal Payments initiative (30% of non-card transactions) still active, and what is its timeline?

> **Our take:** a neutral quarter on earnings quality, not on the investment case. Cost execution was exceptional, but the beat leaned on a regional legislative catalyst and a new fee stream while the core take rate slipped. Our Buy rating rests on valuation, where the market still prices about −1.5% revenue CAGR, and is unchanged.

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